

A

Wages, salary and benefits

'My name's Luigi and I'm a hotel manager in Venice. I get paid a **salary** every month. In summer, we're very busy, so we do **overtime** – work a lot of extra hours. The pay for this is quite good. Working in a hotel, we also get some nice **perks** – for example, free meals!'



'I'm Ivan and I work as a waiter in Prague. I like my job even if I don't **earn** very much: I get paid **wages** every week by the restaurant. We get the **minimum wage** – the lowest amount allowed by law. But we also get **tips** – money that customers leave in addition to the bill. Some tourists are very generous!'

'Hi, I'm Catherine, and I'm a saleswoman in luxury goods, based in Paris. I get a **basic salary**, plus **commission** – a percentage on everything I sell. If I sell more than a particular amount in a year, I also get a **bonus**, which is nice. There are some good **fringe benefits** with this job: I get a **company car**, a BMW; there's a **health plan** to pay the costs of medical treatment if I get ill; and the company makes payments for my **pension** – money that I'll get regularly after I stop working. So, with the bonuses, the car, the health plan and the pension, I've got a very nice **benefits package**. And the **working conditions** are good too: I have a nice office and I don't have to travel too much.'

B

Compensation 1

Catherine mentioned her **pay and conditions**. **Remuneration** and **compensation** are formal words used to talk about pay and conditions, especially those of senior managers. **Remuneration package** and **compensation package** are used especially in the US to talk about all the pay and benefits that employees receive. For a senior executive, this may include **share options** (BrE) or **stock options** (AmE), the right to buy the company's shares (see Unit 36) at low prices. There may be **performance (-related) bonuses** if the manager reaches particular objectives for the company.

C

Compensation 2

Compensation is also used to talk about money and other benefits that someone receives if they are forced to leave the organization, perhaps after a disagreement with other managers in what newspapers call a **boardroom row**. This money is in the form of a **compensation payment** or **severance payment**. If someone also receives benefits with this, the payment and the benefits form a **compensation package** or **severance package**.

In Britain, executives with very high pay and benefits may be referred to as **fat cats**, implying that they do not deserve this level of remuneration.

Exercises

5.1 Xavier and Yvonne are talking about Xavier's new job as a photocopier salesman. Sometimes, they don't use the exact names for things that they are talking about. Complete these expressions, using items from A opposite.

- 1 X: I get paid every month, rather than every week.
Y: I see. You get a, not wages.
- 2 X: I usually have to work late: I don't get paid for it, but I do get a percentage for every photocopier I sell.
Y: So you don't get, but you do get That's good.
- 3 X: And the people in production get a if they reach their targets.
Y: Oh right. They get an extra payment if they produce more than a certain amount.
- 4 X: And the extras are great: the company pays for medical treatment if we get ill and the company restaurant is fantastic.
Y: Wow! The company sound very nice.
- 5 X: And they've given me a to go and visit clients.
Y: So you don't have to buy a car then.
- 6 X: What's more, there's a very good scheme where the company pays in money for us to get when we don't work any more.
Y: Yes, it's important to get a good
- 7 X: The total is brilliant.
Y: Yes, all those extras are really worth having.

5.2 Which expressions from B and C opposite could be used to complete each of these newspaper extracts?

1 **KEVIN DAVIS QUILTS AS MF GLOBAL CHIEF**

.....

2 **PUBLIC ANGER AT BANKING EXECUTIVES' PAY**

Anger at the
.....s (2 possibilities) of bank executives is high. Henry Waxman, the California Democrat, this week sent letters to nine of the biggest investment banks asking why they have set aside \$108 billion for salaries and bonuses in a year when they have received \$125 billion in government aid.

3 **Underachieved? Have a**

.....!

When things get tough, senior executives should get a pay rise, right? Top executives at Kingfisher, which owns B&Q, and at Vodafone seem to think that directors should be entitled to large amounts of extra pay even when their companies are doing badly.

4 **NEW THINKING**

Following the UK government's rescue of the banks, voters will say, 'If you could find the money to clear up the mess left by a few greedy, then you can find the money to fund this bus service / save this village school / renationalize the railways.'

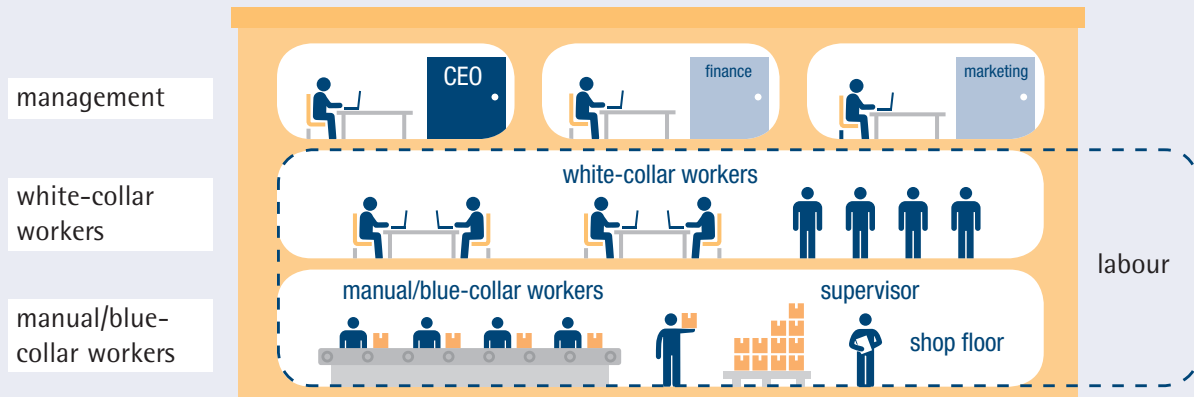
Over to you

In what order of attractiveness would you put these benefits in relation to your job or one that you would like to have? Give your reasons.

salary	share options	company car	performance-related bonus
commission	pension	health plan	

A

Employees and management



The people who work for a company are on its **payroll**. They are its **employees, personnel, staff, workers** or **workforce**. These words can also refer just to the people carrying out the work of a company, rather than the **management** – those leading and organizing the company.

Note

Workforce, work-force and **work force** are all possible.



B

Management and administration

A company's activities may be spread over different **sites** in different places. A company's most important managers usually work in its **head office** or **headquarters (HQ)**. Some managers have their own individual **offices**, but often employees work in **open-plan offices** – large areas where many people work. **Administration** or, informally, **admin** – the ordinary work supporting a company's activities – is often done in offices like these by **administrative staff** or **support staff**. For example, those giving technical help to buyers of the company's products are in **technical support**.

C

Labour

You use **labour** to talk about everyone except the management who works for a company, especially a company that makes things.

Note

BrE: **labour**
AmE: **labor**

labour	costs	what companies have to pay for labour, rather than materials, etc.
	dispute	a disagreement between management and labour
	leader	someone in charge of an organization that represents workers
	relations	the relationship between management and employees in general
	shortage	a period when there are not enough people available to work
	unrest	a period of disagreement between management and employees

Labor unions (AmE) and **trade unions** (BrE) defend the interests of workers.

When workers are not happy with pay or conditions, they may take **industrial action**:

- a **strike, stoppage** or **walk-out** – workers stop working for a time
- a **go-slow** – workers continue to work, but more slowly than usual
- an **overtime ban** – workers refuse to work more than the normal number of hours

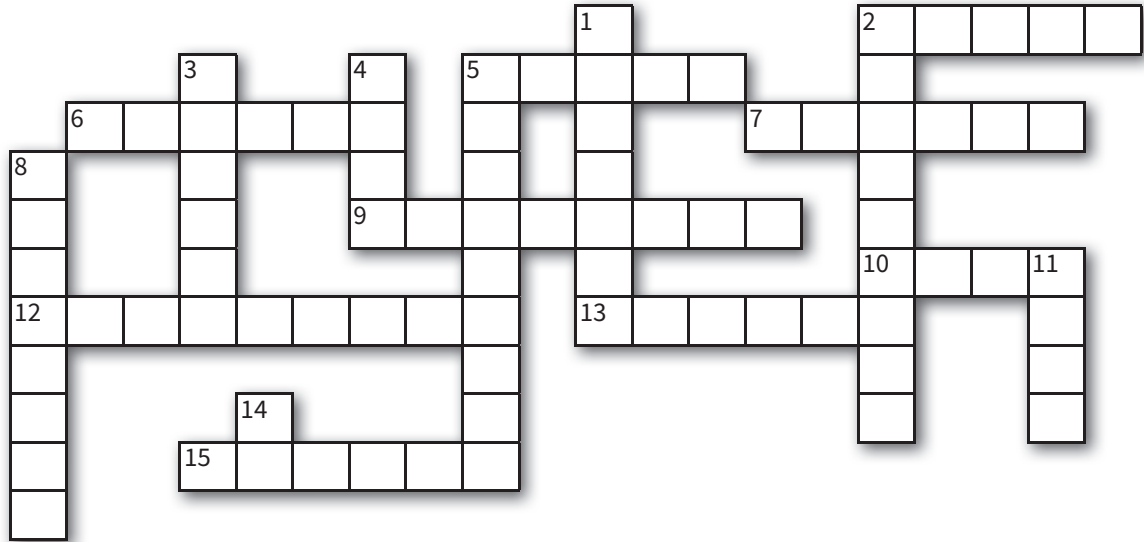
D

Personnel and HRM

In larger organizations there is a **human resources department (HRD)** that deals with pay, recruitment, etc. This area is called **human resources (HR)** or **human resource management (HRM)**. Another, older, name for this department is the **personnel department**.

Exercises

6.1 Complete the crossword with the correct form of words from A, B, C and D opposite.



Across

- 2 and 15 Office workers may be described this way. (5, 6)
- 5 all of the people working for a company (5)
- 6 workers who use their hands are of this type (6)
- 7 when people stop working to protest (6)
- 9 one of the people working for an organization (8)
- 10 occasions when workers stop working in order to protest: walk-..... (4)
- 12 another name for the human resources department (9)
- 13 workers seen as a group (6)

Down

- 1 Everyone working for a company is on this. (7)
- 2 everyone, or everyone except top managers (9)
- 3 These are *trade* in the UK and *labor* in the US. (6)
- 4 and 15 across Manual workers are this, even if they don't wear this. (4, 6)
- 5 A place in a factory where the production lines are. (9)
- 8 when people stop work to complain about something (8)
- 14 and 11 Workers do this when they intentionally produce less. (2, 4)

6.2 Manuel Ortiz is the founder of a Spanish computer sales company. Use the words in B and D opposite to complete what he says about it.

'I founded Computadoras Creativas 20 years ago. We started with a small **(1)** _____ in Madrid. Our **(2)** _____, our **(3)** _____ is still here, but now we have sites all over Spain, with about 500 employees. Many of the offices are **(4)** _____ - everyone works together. This includes managers to **(5)** _____ - secretaries and people who support the company's activities, and people in technical **(6)** _____ giving help to customers over the phone.

Recruitment is taken care of in Madrid, by the **(7)** _____ or **(8)** _____.'

Over to you

Answer these questions about the company you work for or would like to work for. Look at the company website to help you.

- Where is its head office? How many sites does the company have? How many employees?
- Do people have their own offices or are there open-plan offices? Which do you or would you prefer to work in?